

AI in Finance

Forecasts are guesses with a method, not facts

What You Will Learn

- Know where AI genuinely helps with budgeting, forecasting, and expense work.
- Understand that a forecast is only useful if its method and assumptions are stated.
- Manually verify at least one AI-generated financial number before trusting a full report.
- Explain profit margin vs cash flow with a simple example.

1. Where AI Actually Helps in Finance

- **Budget drafting:** turning a rough list of expected costs into a structured monthly budget.
- **Forecasting:** extending past trends forward to estimate future revenue or costs.
- **Expense categorization:** sorting a messy list of transactions into categories.
- **Variance-analysis explanations:** drafting a plain-language explanation of why actual numbers differed from the budget.

2. Forecasts Are Guesses With Method

An AI-generated forecast is not a fact about the future — it's a structured guess, usually based on extending a past trend, an average, or a seasonal pattern. That's genuinely useful, but only if the method and the assumptions behind it are stated clearly. A forecast presented without its method or assumptions is just a confident-sounding number.

Example — a forecast with its method stated

Past 3 months' revenue: Rs. 80,000, Rs. 85,000, Rs. 90,000 (steady Rs. 5,000 monthly increase). A trend-based forecast for next month: Rs. 95,000, with the assumption stated as "assumes the same Rs. 5,000 monthly growth continues, with no major new factors." This is checkable by hand — and honest about what it assumes.

3. Verifying an AI-Generated Financial Number

The same rule from the Excel chapter applies here even more strictly, because the stakes are higher: never use a financial number or formula you can't explain. If AI calculates a profit margin, a growth rate, or a forecast, manually check it on at least one small, hand-checkable example before trusting it on the real numbers.

ACTIVITY 1: Forecast and Verify by Hand

Step 1. Write down 6 made-up monthly revenue numbers for a small business.

Step 2. Ask AI to forecast the next 3 months and explain its method (trend, average, or seasonal).

Step 3. Manually recalculate at least one of the 3 forecasted months using AI's stated method, and check if it matches.

Worked example: Revenue (6 months): 50k, 52k, 55k, 53k, 58k, 60k. AI forecasts month 7 at ~62k using a trend-based method. Manual check: average monthly increase over the 6 months is roughly +2k, so $60k + 2k = 62k$ — matches, confirming the method was applied correctly.

ACTIVITY 2: Explain Profit Margin vs Cash Flow Simply

Step 1. Ask AI to explain the difference between profit margin and cash flow using a simple 3-line business example.

Step 2. Rewrite the explanation in your own words, without copying AI's exact phrasing.

Step 3. Check: does your rewritten version still make the actual distinction clear?

Worked example: AI's example: a business sells Rs. 1,00,000 of goods, costing Rs. 70,000 to make (profit margin 30%) — but if customers haven't paid the invoices yet, the business has Rs. 0 cash in hand despite being "profitable" on paper. Profit margin measures what you earned; cash flow measures what you actually have.

ACTIVITY 3: Flag Unusual Budget Line Items

Step 1. Write a simple 8-10 line monthly budget for a small business (rent, salaries, supplies, marketing, etc.), including one deliberately unusual number.

Step 2. Ask AI to flag any line items that look unusual compared to the rest.

Step 3. For the flagged item, decide: is this a real concern, or normal seasonal variation (e.g. higher marketing spend before a festival)?

Worked example: Budget includes: Marketing Rs. 5,000 for 11 months, then Rs. 50,000 in one month (before a big festival sale). AI flags this as unusual. Verdict: this is likely normal seasonal variation, not an error — but it's still worth confirming with whoever approved that month's marketing spend before finalizing the budget.